In his speech in Goa on 13 November, the Prime Minister had stated, 'I constituted a small team 10 months ago to execute a big operation. It was a humongous task, to print currency notes, distributing them to different banks. [We] had to keep it under wraps very carefully because the corrupt have strong sources within the government. If the information got leaked, they would have settled their accounts.'

This implies, or should imply, that planning for demonetization had started in January 2016.

From information in the public domain, we know that in April 2016, Raghuram G. Rajan, Governor of the RBI,[6] had voiced his concerns on the 'high year-on-year rise in currency in circulation in fiscal 2016.' He surmised that this could be because 'cash with the public goes up close to polls. You can see that there is a spike not just in the state going to polls but also in the neighbouring state.' Rajan's inference was possibly indicating that political parties were hoarding cash to woo voters in the major state legislature elections scheduled for 2017.[7]

The State Bank of India's (SBI) Chief Economist, Soumya Kanti Ghosh, however, presented a counter argument. In his report published in SBI's Ecowrap of March 2016, Ghosh stated, 'The common perception is that, FY17 being an election year, people are hoarding cash. However, had this been true, even FY14 should have shown the similar trend. In fact, that year witnessed a decline… the bigger reason, *could be the trend in demonetization*. There are suggestions in public domain and even analysis that are *suggesting that higher denomination notes may be replaced*. We believe, as a result of that, people may be using more of *high value currency to purchase safe haven assets*.'

This was the first public reference to a possible demonetization.

In the April 2016 issue of the same publication, Ghosh elaborated on this topic further, stating: '*Demonetization, if is being contemplated, a road map needs to be created. It needs to be done in steps* and be balanced with creation of necessary electronic and digital